

Advertisement

TRANSPORTATION



Faraday Future faces potential SEC enforcement action after three-year probe



The Securities and Exchange Commission (SEC) has sent letters to [Faraday Future](#) founder Jia Yueting and president Jerry Wang, alerting them that they may soon face enforcement actions from the agency as the result of a [three-year fraud investigation](#).

The letters, known as “Wells Notices,” state that the commission’s staff has made an internal determination to recommend an enforcement action against the electric vehicle company, the two executives, and two former employees who weren’t named, according to [a regulatory filing published Wednesday](#).

IMAGE CREDITS:

PATRICK T. FALLON/BLOOMBERG / GETTY IMAGES

Faraday Future wrote in the filing that the SEC is focused on “purported false and misleading statements” related to the company’s 2021 merger with a special purpose acquisition company (SPAC). The SEC may seek “an injunction or cease-and-desist order against future violations of provisions of the federal securities laws, the imposition of civil monetary penalties, disgorgement or other equitable relief within the Commission’s authority, or any combination of the foregoing,” according to the filing.

The company also said in the filing that they — along with Jia and Wang — “plan to engage with the Commission staff about why an enforcement action is not warranted.” A spokesperson for Faraday Future did not immediately respond to a request for

DISRUPT

October 27-29, 2025 | San Francisco

Put your brand in front of 10,000+ tech and VC leaders across all three days of Disrupt 2025. Amplify your reach, spark real connections, and lead the innovation charge. Secure your exhibit space before your competitor does.

[Book Your Table >](#)

Most Popular



- Key sections of the US Constitution deleted from government’s website
- Three weeks after acquiring Windsurf, Cognition offers staff the exit door
- Roku launches Howdy, a \$2.99 ad-free streaming service
- Spotify raises subscription prices
- The uproar over Vogue’s AI-generated ad isn’t just about fashion

comment. Jia and Wang did not immediately respond to requests for comment either.

TechCrunch has learned that the SEC has conducted multiple depositions in recent weeks with former employees of Faraday Future, according to two people with knowledge of the interviews, who were granted anonymity because they were not authorized to speak about them.

But this potential legal trouble started brewing for Faraday Future almost immediately after the company went public in July 2021.

As part of the SPAC merger process, the company brought on a handful of new board members who were not previously related to the company. Those board members became concerned that Faraday Future had not only made misleading statements to the investing public but also that it was concealing the amount of control that Jia wielded over the company. What's more, the members were concerned about the way money was flowing between the company and entities connected to Jia.

- Your public ChatGPT queries are getting indexed by Google and other search engines
- The best dating apps aren't even dating apps

TC

Tech and VC heavyweights join the Disrupt 2025 agenda

Netflix, ElevenLabs, Wayve, Sequoia Capital — just a few of the heavy hitters joining the Disrupt 2025 agenda. They're here to deliver the insights that fuel startup growth and sharpen your edge. Don't miss the 20th anniversary of TechCrunch Disrupt, and a chance to learn from the top voices in tech — grab your ticket now and save up to \$675 before prices rise on August 7.

San Francisco | October 27-29, 2025

The board launched an internal probe, hired a high-powered law firm and forensic accounting firm, and ultimately determined that all of those things were true. They sidelined Jia as a result, and Wang (who is Jia's nephew) resigned after refusing to cooperate with the probe, according to SEC filings. The directors who ran the internal probe handed over a lot of that information to the SEC, which sent subpoenas to Faraday Future in March 2022. Around that same time, the Department of Justice also started probing the company. (The current status of the DOJ inquiry is unknown.)

That SEC investigation, which TechCrunch has learned has been led by the commission's Los Angeles enforcement office, has been chugging along for the past three years. Faraday Future has occasionally disclosed receiving successive subpoenas, but it was unclear until Wednesday morning's filing whether the commission would pursue an enforcement action.

While the investigation was ongoing, Jia re-established himself as the leader of Faraday Future.

In 2022, the directors were subjected to immense pressure as an outside entity and major shareholder group called FF Global — which had connections to Jia — attempted to gain more power over the board. FF Global took particular aim at one board member, Brian Krolicki. Matthias Aydt, who is currently Faraday Future's co-CEO along with Jia, even [offered to pay Krolicki](#) up to \$700,000 if he would step down.

By late 2022, some of those [board members started receiving death threats](#). All of them ultimately stepped down as FF Global agreed to line up much-needed financing to keep the company alive.

In 2023, Faraday Future finally put its long-promised electric SUV into the hands of its first customers, although multiple whistleblowers have [claimed those sales are fake and misleading](#). Nonetheless, Jia was named co-CEO [in April of this year](#).

Topics: [electric vehicles](#) [faraday future](#) [Jia Yueting](#)

Latest
Startups
Venture
Apple
Security
AI
Apps



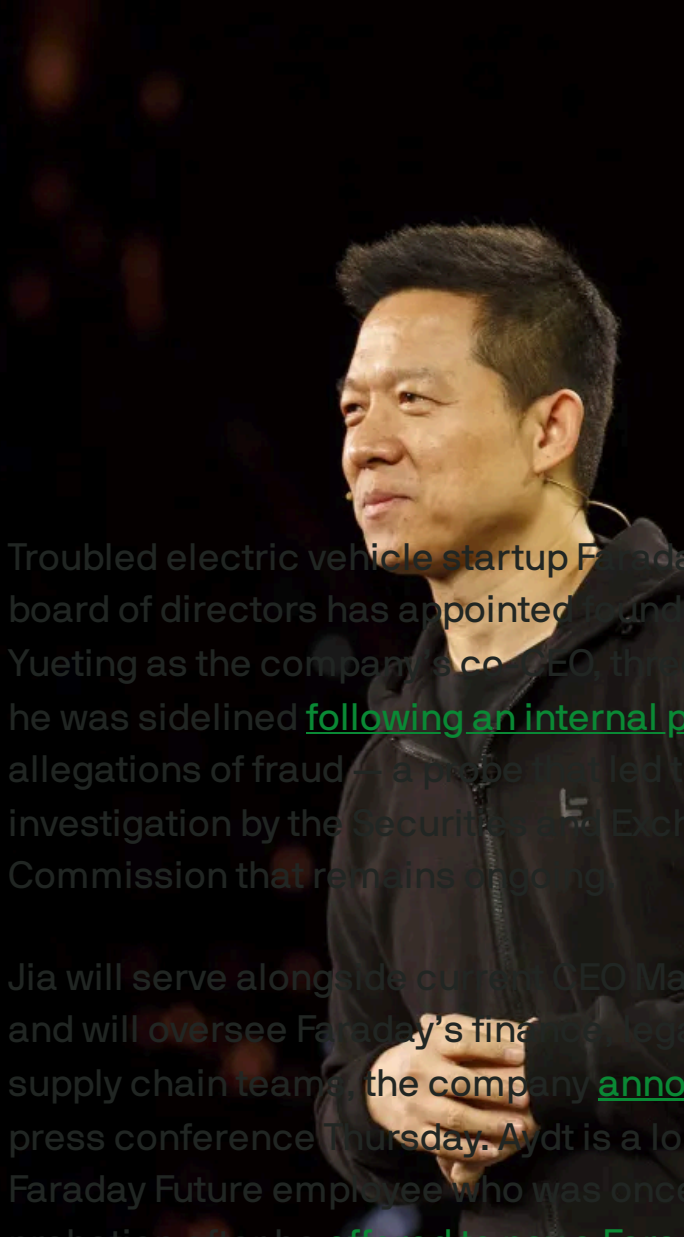
Events
Podcasts
Newsletters

KEEP READING

TRANSPORTATION



Faraday Future founder named co-CEO three years after being sidelined by internal probe



Troubled electric vehicle startup Faraday Future's board of directors has appointed founder Jia Yueting as the company's co-CEO, three years after he was sidelined [following an internal probe](#) into allegations of fraud -- a probe that led to an investigation by the Securities and Exchange Commission that remains ongoing.

Jia will serve alongside current CEO Matthias Aydt and will oversee Faraday's finance, legal, and supply chain teams, the company [announced](#) in a press conference Thursday. Aydt is a longtime Faraday Future employee who was once placed on probation after he [offered to pay a Faraday Future board member up to \\$700,000 to resign](#) in the middle of a [months-long power struggle over the company](#).

Jia's appointment comes just one month after Faraday Future named Jia's nephew Jerry Wang as [president of the EV startup](#). Wang resigned in 2022 as a result of the internal probe because of a "failure to cooperate with the investigation," according to [filings](#) with the Securities and Exchange Commission.

Faraday Future was founded by Jia in 2014 as he looked to build on what was at the time a successful electronics and media streaming empire in China.

That empire collapsed, and Jia self-exiled to the U.S. to focus on Faraday Future. The company has spent the last decade and over \$3 billion to develop an ultra-luxury EV called the FF91. But it has only sold around a dozen of them to date, and has been accused in lawsuits of [misrepresenting some of those sales](#).

Topics: [electric vehicles](#) [EVs](#) [faraday future](#)

[Startups](#) [Transportation](#)

[f](#) [X](#) [in](#) [t](#) [✉](#) [🔗](#)



Sean O'Kane
Sr. Reporter, Transportation | [X](#)

Sean O’Kane is a reporter who has spent a decade covering the rapidly-evolving business and technology o...

[View Bio](#) >

Newsletters [See More ↗](#)

Subscribe for the industry’s biggest tech news

- TechCrunch Daily News** 
Every weekday and Sunday, you can get the best of TechCrunch’s coverage.
- Startups Weekly** 
Startups are the core of TechCrunch, so get our best coverage delivered weekly.
- TechCrunch Week in Review** 
Get the best of our coverage, delivered to your inbox every Saturday.
- TechCrunch Mobility** 
TechCrunch Mobility is your destination for transportation news and insight.

No newsletters selected.

Email address

Subscribe

By submitting your email, you agree to our [Terms](#) and [Privacy Notice](#).

Faraday Future faked early sales, lawsuits claim

Sean O'Kane — 1:26 PM PDT · April 9, 2024

Two internal whistleblowers at Faraday Future claim the troubled EV company has been lying about some of the few sales it has announced to date. They also claim founder Jia Yueting has “weaponized” the EV startup’s HR department to retaliate against anyone who speaks up about these alleged misrepresentations.

The employees, Jose Guerrero and Victoria Xie, have made those claims in a pair of newly filed lawsuits against Faraday Future and Jia — as well as the company’s head of HR, Nan Yang — in Los Angeles Superior Court, alleging wrongful termination, breach of contract, and infliction of emotional distress.

Both lawsuits also highlight what has been the central tension of Faraday Future: that its founder, Jia, allegedly continues to assert control over the

Advertisement

Latest in Transportation

[See More](#)

TRANSPORTATION



Federal regulators give Zoox an exemption for its custom-built robotaxis

Kirsten Korosec

company despite having been sidelined in 2022 as the [result of an internal probe](#).

The previously unreported suits come as Faraday Future has continued to furlough and lay off employees to save what little cash it has left, to the point that it was [nearly evicted](#) from its Los Angeles headquarters after it missed multiple lease payments. This is all happening while the company is facing active investigations from the Securities and Exchange Commission and the Department of Justice.

“FF takes the allegations made in these two lawsuits by previous employees very seriously,” a spokesperson for Faraday Future said in an emailed statement. “FF believes on merit it has strong defenses to the alleged claims and will pursue all avenues and remedies available to protect and defend itself and the Company’s dedicated employees against all allegations including character attacks.”

Jia, in an email to TechCrunch, said: “I believe that there are numerous false statements and defamatory allegations in the said complaints. I plan to file counter-lawsuits against the parties involved.”

Guerrero and Xie, through counsel, declined to comment beyond the allegations in the filing.

- 14 hours ago

TRANSPORTATION



Jeh Aerospace nets \$11M to scale the commercial aircraft supply chain in India

Jagmeet Singh - 2 days ago

TRANSPORTATION



Foxconn sells former GM factory to mystery buyer after failing to make EVs

Sean O'Kane - 3 days ago

Advertisement

TC

Tech and VC heavyweights join the Disrupt 2025 agenda

Netflix, ElevenLabs, Wayve, Sequoia Capital — just a few of the heavy hitters joining the Disrupt 2025 agenda. They’re here to deliver the insights that fuel startup growth and sharpen your edge. Don’t miss the 20th anniversary of TechCrunch

Disrupt, and a chance to learn from the top voices in tech — grab your ticket now and save up to \$675 before prices rise on August 7.

San Francisco | October 27-29, 2025

REGISTER NOW

Allegations of faked sales and retaliation

In an internal whistleblower letter submitted to the company's general counsel on December 6, 2023, Guerrero and Xie claimed that Faraday Future lied about the first four publicly touted sales of its electric SUV, the FF91.

Guerrero, who was a senior director of sales and aftersales at Faraday Future, and Xie, who was the company's "go-to-market project manager and launch manager," say that the company announced these deliveries before the sales process had been completed. They claim three of the four were never fully paid for, at least at the time the whistleblower letter was submitted, and the fourth was only paid for "more than 60 days after the 'sale' was announced." Faraday Future has since claimed to have delivered [10 vehicles](#) in all of 2023.

Guerrero and Xie claim that when sales staff pushed back against these "premature" announcements, the leadership team in Jia's department "continued to cite the need to announce sales to boost the Company's share price and subjected staff who raised compliance concerns to retaliatory HR actions."

Guerrero and Xie go on to claim that Faraday Future executed these sales agreements with its initial customers without performing pre-delivery

inspections on the vehicles, and that one of Jia's lieutenants dismissed concerns about this. They say the sales team was pressured to submit DMV paperwork "without the required insurance and cash payments." They also claim Jia's team was sending "non-road approved software" to these early customer cars and that they were not properly documenting or disclosing the software's release notes to the National Highway Traffic Safety Administration, in potential violation of the Transportation Recall Enhancement, Accountability and Documentation Act.

What's more, they claim Faraday Future has been performing repairs on these early customer vehicles without proper documentation or work authorization, which he says could put the company's license with the California Bureau of Automotive Repair at risk.

"When [Defendant Mr. Jia] and his trusted circle inquired about regulatory requirements, it was done so with the clear intention to 'creatively' circumvent the rules," they claim in the lawsuits.

Xie says in her complaint that she was fired "in retaliation for her protected whistleblowing" just two days after the letter was submitted, and claims Jia and Yang were directly involved in her firing. Xie attempted to file an arbitration claim against the company on December 22, according to the complaint. But Faraday Future didn't pay the required arbitration fees and missed the 30-day window to do so, thus making it possible for her to file a lawsuit in Superior Court, the complaint claims.

Faraday Future allegedly fired Guerrero on January 18 in retaliation for speaking up, according to his complaint. He, too, filed an arbitration claim against the company, and when Faraday Future did

not pay the fees, he was similarly free to file a lawsuit in Superior Court.

Jia's control over Faraday Future has always been a thorny issue. As previously reported, Jia [secretly ran the company](#) in its earliest years despite the company listing someone else as its CEO on paper. He did ultimately take over as CEO, but he brought in a former BMW executive to fill that role in 2019 [in order to appeal to investors](#). The company ultimately went public in 2021 by merging with a special purpose acquisition company.

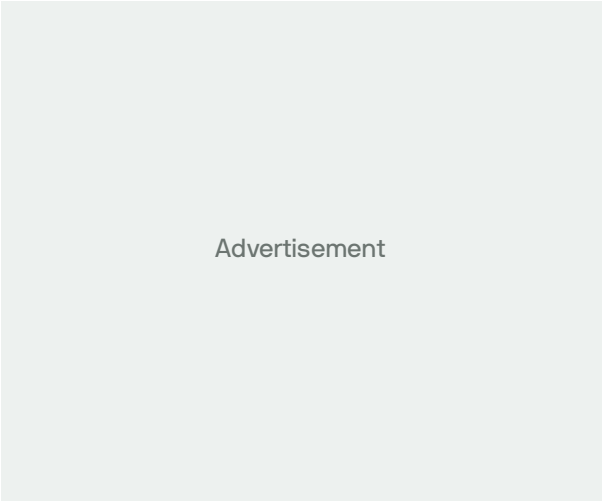
Jia was reprimanded as the result of an internal probe that began in late 2021. That investigation looked into claims from a short-seller that Faraday Future had overstated the number of preorders for its vehicles, as well as a lack of proper disclosures around the founder's movement of money in and out of the company. In 2022, people close to Jia helped [lead a boardroom coup](#) all while being investigated by the SEC and the DOJ.

Jia is still not CEO, but Guerrero and Xie claim in their lawsuits that he "heads a shadow organization" that controls the company's destiny. They say he and his trusted lieutenants meet at one of the [mansions he purchased](#) on the Pacific coastline nearly every week.

"All major operational decisions within key functions of the businesses, including human resources, budget allocations, vehicle release, and the financial services, are directed and approved by Jia," they claim in the lawsuits.

You can read [Guerrero's lawsuit here](#), and [Xie's lawsuit here](#).

This story has been updated with a comment from Faraday Future and from founder Jia Yueting.



- [f](#)
- [X](#)
- [in](#)
- [reddit](#)
- [envelope](#)
- [link](#)



Sean O'Kane

Sr. Reporter, Transportation | [X](#)

Sean O’Kane is a reporter who has spent a decade covering the rapidly-evolving business and technology o...

[View Bio](#) >

Loading the next article



- [X](#)
- [in](#)
- [f](#)
- [instagram](#)
- [youtube](#)
- [messenger](#)
- [at](#)
- [butterfly](#)

[TechCrunch Staff](#)

[Contact Us](#)

[Advertise](#)

[Crunchboard Jobs](#)

[Site Map](#)

[Terms of Service](#)

[Privacy Policy](#)

[RSS Terms of Use](#)

[OpenAI](#)

[Perplexity](#)

[Cisco](#)

[DeepMind](#)

[Windsurf](#)

[Tech Layoffs](#)

[ChatGPT](#)